

The Guatemalans who pay the price for the west's need for nickel

Juliette Garside

The road to Guatemala's biggest nickel mine is barely visible through a cloud of red dust, churned up by the 25-tonne trucks that thunder past loaded with ore.

From the choking haze a cyclist emerges, weaving between the lorries. On his back he carries a bundle of firewood. Goggles protect his eyes, a bandana covers his nose and mouth.

Manuel Choc, a grandfather with greying hair, lives in the settlement of El Paraíso, almost opposite the gates of the Fenix mine. Each bundle sells for 10 quetzals (£1). It is a precarious living.

"Many people have died on the road," says Choc. "The trucks run them over and often they don't stop. Many people. Someone died just over there. The drivers, they do nothing. But God, he knows."

In many ways, the perilous roads are the least of his problems.

Exporting its mineral to Europe and beyond, where it is used in mills producing stainless steel, Fenix is the focus of claims about water and air pollution, and fears of political corruption.



📷 Manuel Choc. Photograph: Forbidden Stories

As the quarries expand, hundreds of families in the surrounding Mayan villages fear eviction, and the loss of the environment that sustains them.

In September 2011, Fenix was bought by the Solway group, a European-owned business run from Switzerland. Theirs is a messy business. Their diggers work night and day, felling trees and excavating 2.6m tonnes a year.

On the shores of Lake Izabal, the country's largest expanse of fresh water, furnaces pump out smoke seven days a week. The chimneys - fitted with filters designed to reduce impurities - are part of a plant

restored by Solway. It turns ore into ferronickel.

Dozens, sometimes hundreds of trucks a day carry ore and ferronickel away to the Caribbean port of Santo Tomás de Castilla.

The once sleepy town of El Estor, with its pretty lakeside promenade, is now the focus of a vicious environmental dispute.

The company's arrival created 3,000 jobs. But it has also brought conflict.

It is facing claims – [which it denies](#) – of being implicated in a news blackout after charges were filed by the public prosecutor, in a case brought by Solway, against two journalists working for the Guatemalan news website [Prensa Comunitaria](#).

[Green Blood](#), a consortium of international media led by the French group Forbidden Stories, has come together to continue their investigation.

Working alongside Prensa Comunitaria, El País, Le Monde and other media outlets, the Guardian has uncovered new evidence that will raise fresh questions about the environmental impact of the mine.

Guatemala's supreme court ruled in February that local people had not been properly consulted when the Fenix licence was renewed in 2006, under previous owners. Solway is appealing. If the decision is upheld, it will have to undertake a listening exercise.

Working with a translator, we spoke to villagers to hear their concerns. Many report similar problems: water shortages, problems growing crops, coughs, skin rashes and eye infections.



📷 A child with a skin rash in El Paraíso settlement. Photograph: Juliette Garside/The Guardian

To date, no scientific study has conclusively linked these problems to the activities of the mine. Solway says it is careful not to destroy water sources, and its own research shows the air quality has not deteriorated since Fenix reopened.

But many people do not trust the company, or the few government studies that have been produced, believing the state is prepared to prioritise the needs of industry over their own.

Solway's licence extends over a particularly sensitive region: 247 sq km of densely forested hills that are home to 20 settlements belonging to the [Q'eqchi' people](#). Some own their land, some are considered squatters. A number sit on, or near, rich nickel deposits.

When the settlers of El Paraíso moved here, the mine, which dates to the 1970s, lay dormant. They struck a deal with the government's land bank, Fondo de Tierras, put up their huts and planted corn.

But their crops are now failing. First the plants were stunted; now Choc says they die as seedlings. Choc blames the dust.

Whirling in from the lorries churning up the road, and the open cast quarries, it falls on the roofs. Corrugated iron that should last up to 14 years is rusted through in four.

Choc's neighbours lift their children's T-shirts and point to skin rashes on backs, necks and chests.

This summer, the stream on which El Paraíso depends for drinking water ran dry.



📷 Red smoke rising from the Fenix refinery. Photograph: Carlos Choc

The people here have an expression: the mine, they say, is “eating the mountain”.

With Solway planning to dig for the next two decades, the communities say they are in peril.

Some don't appear on any official maps. In the eyes of the authorities, they simply do not exist.

Until recently, the Q'eqchi' were largely internal migrants. Now they are joining the caravans. In December, a [seven-year-old Q'eqchi' girl died](#) in the custody of US customs in El Paso, Texas.

Stories of death and violence swirl around Fenix. In 2012, three students drowned at a nature reserve owned by Solway.

Last week, the company's biologist was found guilty of culpable homicide and his former employer ordered to pay reparations to the families. In 2016, when a boiler in the refinery exploded, seven employees were killed.

Last year the head of [El Gosen village](#) was abducted and then jailed. During his absence, his people were evicted from land which Solway says they were squatting. The company offered them financial assistance to move.

Tensions in El Estor escalated in March 2017, when a red stain spread across the lake. The fishermen blamed the refinery.



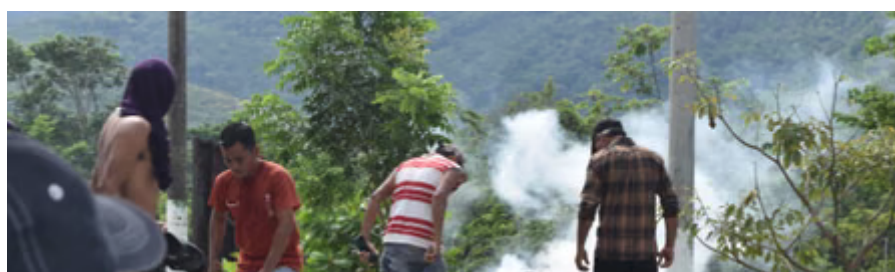
📷 The red stain on Lake Izabal in 2017. Photograph: Carlos Choc

Their unions decided to picket the road to Fenix. The trucks stopped rolling. Women and children were trapped inside the “colony”, a compound surrounded by a high wall where the mine workers live with their families.

As the colony started to run out of food, and piles of untransported ore mounted, so did pressure on the local authorities to end the dispute. After a brief truce, negotiations fell apart and the protesters put up a new blockade.

El Estor is still reeling from the actions that were taken next.

Witnesses say that at 2pm on 27 May, police first launched teargas, then opened fire. The fisherman Carlos Maaz Coc had picked up a stone. He was shot in the chest before it left his hand. The police fled the scene, after wounding another demonstrator, leaving Maaz's body on the tarmac.





📷 The body of Carlos Maaz Coc, surrounded by bystanders in El Estor. Photograph: Carlos Choc

Instead of drawing back, the mine pressed the public prosecutor to take legal action against the demonstrators. The head of the fishermen's union was eventually detained by police in Puerto Barrios prison. His deputy was held there for a year and is now on bail.

Arrest warrants were issued for two indigenous journalists working for Prensa Comunitaria, Carlos Choc and Jerson Xitumul. Their names were added by the prosecutor to a list of fishermen accused of holding company staff captive.

Choc went into hiding, and Xitumul was placed under house arrest. The case against Xitumul has since been dropped, and earlier this year, the prosecutor and the company asked for the charges against Choc to be dismissed, but the judge overseeing the case refused, requesting further investigations.

And so it drags on.

El Estor's parish priest, who was three metres away from Maaz when he saw the police open fire, is horrified by events.

"It is the modus operandi of many companies to impose fear, calling you a delinquent ... and it seems that the strategy has worked for them," says Padre Ernesto Rueda Moreno. "The union is completely overshadowed."

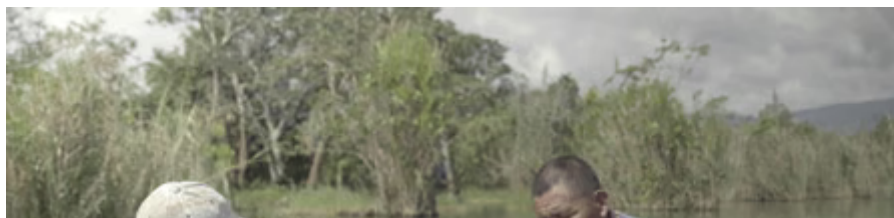
Among his parishioners, he says, there is "an almost complicit silence".

The company says it has a duty to protect its staff and their families, and that it does not seek to silence or harass journalists.

A day after the shooting, the government held a press conference to announce that an algae bloom had turned the waters red. Its report blamed pollution from agriculture and sewage.

But concerns about the refinery persist.

A [recent water analysis](#) obtained by Prensa Comunitaria for this investigation raises fresh questions. Produced by Amasurli, the government-funded agency for the sustainable management of the Izabal basin, it concludes the lake is undergoing "eutrophication" – an excessive richness of nutrients leading to overgrowth of plant life.





📷 Fishermen on Lake Izabal. Photograph: Forbidden Stories

In 2018, nitrite salts were 54 times higher than the “regular” (safe) level, and phosphates were twice as high. The results for 2017, the year of the red stain, are missing. Amasurli’s explanation is that monitoring was “not realised” that year.

What causes the eutrophication? The report concludes this is due to agriculture and sewage. Independent experts agree with this. A 2019 chart for 11 water quality monitoring stations shows the highest levels of nitrites and phosphates were found at the mouths of two canals that connect with the refinery.

One is an entry canal, which takes water from the lake to cool the furnaces. The other is an exit canal, built to take water back to the lake.

No one has an explanation for the results from the canals. Solway insists it does not use nitrites or phosphates in its processes. It says its exit canal has been closed since the refinery reopened in 2014.

Nonetheless, Oswaldo Calderón, regional director for the environmental protection agency Fundaeco, remains concerned about Izabal and its wildlife. Manatees were once a common site in El Estor – they feature on the town council’s logo. Now, he says, they are moving away. He blames intensive farming, and the recent arrival of fish cages in the lake, which are introducing new chemicals like fertilisers. But he has concerns about the mine too.

“The lake is really threatened. We have mining, bananas, sugar cane, and they have begun using it to farm fish. If this continues my fear is that it will become a swamp.”

Fundaeco is considering a legal complaint against Fenix.

“If I could, I would just close the mine,” said Calderón. “This company is only bringing social conflict.”





📷 Red water leaking into the Trincheras River. Photograph: Juliette Garside/The Guardian

Drinking water

On the banks of the Trincheras River, a group of community mayors has gathered. They live at the foot of a second nickel mine owned by Solway, known as Montúfar.

A canal draining rainwater from the quarries is pouring red earth into the river. The company says its tests indicate the presence of suspended solids – an indicator of water quality – does not exceed government limits.

The mayors have a bigger concern: 7,000 people depend for their drinking water on cascades near where Solway is working. Over farming and deforestation are having an impact here. But communities continue to see the mine as part of the problem.

“The waterfalls are slowly drying out,” says Mario Sandoval, mayor of Nehua. Since the rains began, he says, the number of litres per person per day has not risen from its summer low. “If the government don’t take this mine out of here, we are ready to put a stop to this. Soon they are going to be taking this side of the mountain away.”

Back in El Estor, Q’eqchi’ leaders have gathered for their first meeting since the blockades. Juan Putal May, 52, lives in Semuc, inside the licence area. The principal spiritual guide of his village, he was born and raised here. In recent years, he has noticed changes.

“Areas that were once humid and green are now dry and bare. It doesn’t rain as much. Agriculture, it’s over.”





📷 Juan Putal May. Photograph: Juliette Garside/The Guardian

Ten years ago, a single “task” or plot would produce 30kg (70lb) of corn. Today it takes 16 plots to harvest the same quantity. Chili will no longer grow; lemons shrivel on the tree.

Families are leaving for the Petén region, further north. The dust is another issue: those left behind have skin rashes and sore eyes.

Aníbal Coti, who runs the El Estor health centre, says conjunctivitis, bronchitis and asthma are on the rise.

“Here, in the mornings, the dust begins to fall as if it were volcano sand,” says Coti. “It is regrettable the ministry of health does not pronounce on any of this.”

Solway says Fenix takes every precaution not to impact the environment. The refinery chimneys are monitored to ensure the level of dust they expel remains within the legal limits.

Dmitri Kudryakov runs the company’s operations in Guatemala.

His foremen are young and bright, and seem enthusiastic about their work. In the corridor outside are football trophies from community matches.



📷 Trucks near the mine. Photograph: Forbidden Stories

“When I came in 2012 the engineers could not enter certain communities, because they looked at us

with caution,” he says. “Today there is no community that denies us entry. We can go to play a soccer game. We are invited to celebrate a wedding, Mother’s Day ...”

As to the health problems, Kudryakov says there is no obvious relationship with the company’s activities. “In the communities,” he adds, “because of the economic conditions they have, they do not have access to modern health [care] as a European does, they do not have plants to purify their ordinary water, they have a lot of obvious factors that influence health.”

Asked whether the company has a plan to remedy water shortages, Kudryakov says rivers and streams fluctuate with “biological cycles”, just like the harvests. He says the mine is not to blame.

“We have identified all the sources, in a zone of possible influence ... and obviously we are not working near them. If necessary we plant trees additionally near the springs.”

In the capital, Guatemala City, Luis Chang, the minister of energy and mines, points the finger at external factors. “I would ask what European countries are doing to halt climate change, which is one of the main conditioning factors in reducing the uptake of water sources.”

He dismisses indigenous complaints as based on perception and rumour, rather than facts. The solution, he believes, is dialogue.

Despite Kudryakov’s protestations, tensions remain high in El Estor. Recent weeks have seen sporadic blockades. At El Paraíso, Choc says he is staying put. “Until we die this is our home. We can’t leave. We will last until we last.”